Facial Recognition and Automated Mortgage Systems: A Critical Investigation of Professional Ethics Failures in AI Deployment

Writing Sample — RA Application, School of IT, Monash University Malaysia

Introduction

The rapid adoption of artificial intelligence (AI) across critical sectors such as law enforcement and financial services has introduced significant ethical and professional challenges. While these systems improve operational efficiency, they frequently lack transparency, accountability, and adequate safeguards against harm. This paper critically examines two high-profile failures: the wrongful arrest of Christopher Gatlin resulting from facial recognition technology (FRT), and the automated denial of mortgage modifications by Wells Fargo's automated system. These cases are not merely instances of technical malfunction; rather, they reveal a deeper pattern of professional negligence in which inadequate validation, insufficient oversight, and the systematic prioritisation of efficiency over equity allowed technical limitations to escalate into civil rights violations.

This paper advances a specific argument: that the harms produced by AI systems in critical social contexts are primarily the result of professional and institutional failures rather than irreducible technical limitations. This distinction is analytically significant because it changes what remedies are required. If the problem were purely technical, better algorithms would suffice. The evidence presented here suggests the problem is structural — embedded in how professionals design, validate, deploy, and monitor AI systems — and therefore demands transformation at the level of professional practice and institutional governance.

The ACM Code of Ethics requires computing practitioners to "avoid harm" and to "be fair and take action not to discriminate" (ACM, 2018). The IEEE Code of Ethics similarly requires engineers to prioritise "the safety, health, and welfare of the public" (IEEE, 2020). Both frameworks were violated in the cases examined here — not because professionals were unaware of these standards, but because institutional structures failed to enforce meaningful compliance throughout the AI system lifecycle.

The paper proceeds as follows. The literature review establishes the research context and identifies a productive tension in the existing scholarship between those who argue AI systems can reduce discrimination (Bhutta, Hizmo, & Ringo, 2025) and those who demonstrate they generate new forms of structural inequality (Hurley & Adebayo, 2022). The problem analysis then examines the mechanisms behind each failure — asking not merely that these failures occurred, but why they persisted undetected. The conclusion argues that technical expertise without ethical governance infrastructure is insufficient for responsible AI deployment.

Literature Review

Facial Recognition Technology: Bias as a Product of Professional Failure

Research on facial recognition systems consistently demonstrates higher error rates for dark-skinned individuals, a disparity attributable to underrepresentation in training datasets and inadequate demographic validation (Ferrara, 2024). This observation is frequently framed as a technical limitation, but that framing obscures an important point: the decision to deploy a system without comprehensive demographic validation is a professional choice, not a technical inevitability. Johnson, Johnson, McCurdy, and Olajide (2022) demonstrate that FRT deployment in policing has measurably increased wrongful arrests of minority populations.

When read alongside Ferrara's (2024) findings, this evidence supports the conclusion that racial bias in AI-assisted arrests is not an accident of algorithmic design — it is the downstream consequence of professional failures in testing and deployment protocols.

Controlled evaluations of FRT, such as those conducted by NIST, have demonstrated high accuracy under laboratory conditions (IDEMIA, 2021). However, a persistent gap exists between laboratory performance and field deployment outcomes. This gap is not incidental: it reflects the absence of systematic protocols for validating performance across the demographic diversity found in real-world populations. The Christopher Gatlin case, one of at least eight documented wrongful arrests attributable to FRT failures (MacMillan, Ovalle, & Schaffer, 2025), illustrates how this validation gap interacts with institutional culture. When officers treat algorithmic output as conclusive despite explicit policy guidance to the contrary, the professional failure is not ignorance of the technology's limits but disregard for them.

Automated Financial Systems: The Algorithmic Equity Paradox

The Wells Fargo case raises a different but related set of questions about AI governance in financial services. A calculation error in the bank's automated mortgage modification system resulted in 545 unnecessary foreclosures over five years (Reuters, 2018). The error went undetected throughout this period — a fact that points directly to absent or inadequate quality assurance and human oversight mechanisms rather than to the error itself.

The broader scholarship on AI in financial services is divided on whether algorithmic decision-making reduces or amplifies discrimination. Bhutta, Hizmo, and Ringo (2025) argue that algorithmic credit decisions can reduce racial disparities by removing subjective human judgement. Hurley and Adebayo (2022), however, demonstrate that AI systems produce economic outcomes that disproportionately harm certain populations without any discriminatory intent — what they describe as structural discrimination. This tension is not easily resolved, but the Wells Fargo case suggests the resolution depends heavily on the quality of oversight. An algorithmic system that reduces bias in approval decisions but contains undetected calculation errors — errors that then compound for years without correction — does not represent an improvement in fairness. It represents a transfer of risk from biased human judgement to opaque algorithmic harm. Yang (2025) observes that AI-generated financial risks are more difficult to predict than traditional risks precisely because of this opacity, and Issa, Dakroub, Lakkis, and Jaber (2024) argue that this opacity constitutes a new category of techno-accountability challenge for which current institutional frameworks are inadequate.

Professional Ethics Frameworks: The Theory-Practice Gap

The ACM and IEEE codes of ethics provide clear professional obligations relevant to both cases. Kumar, Singh, and Thompson (2025) argue that integrating transparency, fairness, and privacy into AI development is not merely aspirational — it is a concrete professional responsibility that should govern every stage of the system lifecycle. Chen, Rodriguez, and Williams (2024) demonstrate that addressing algorithmic discrimination requires not only technical approaches but reform of institutional practices and professional standards. The convergence of these arguments suggests that professional ethics frameworks are well-developed in theory but systematically underapplied in practice.

The National Institute of Standards and Technology (2023) provides a structured AI risk management framework that operationalises many of these obligations. Petropoulos, Siakoulis, Stavroulakis, and Vlachogiannakis (2024) observe that balancing innovation with ethical responsibility in AI deployment requires frameworks that the current regulatory environment has not yet provided. The International Monetary Fund (2021) similarly notes that regulatory development has lagged behind technological deployment, creating accountability gaps. The cases examined here are not exceptions to an otherwise well-governed landscape — they are evidence of a systematic failure to close the distance between articulated professional standards and actual deployment practice.

Problem Analysis

How: The Mechanism of Failure in Facial Recognition Deployment

Professional computing standards require that facial recognition systems serve as investigative tools rather than substitutes for human decision-making. NIST (2023) specifies that responsible deployment includes detailed accuracy documentation, explicit performance limits, human verification requirements, and demographic validation protocols. The Gatlin case violated each of these requirements in a traceable sequence.

The department's own policy stated that FRT results were "non-scientific" and "should not be used as sole reason behind decisions" (MacMillan et al., 2025). Despite this, investigators treated the algorithmic output as a confirmed identification. The failure mechanism here is institutional as much as individual: a policy existed but no enforcement mechanism ensured compliance. Officers received neither adequate training on the system's demographic limitations nor accountability structures that required documented human verification before acting on algorithmic output. The result was that a technical limitation — known and documented — was transmitted directly into a wrongful arrest because the institutional infrastructure to interrupt that transmission did not exist in practice.

How: The Mechanism of Failure in Automated Mortgage Processing

The Wells Fargo failure followed a different but structurally analogous mechanism. A calculation error in attorneys' fee assessment caused the automated system to deny loan modifications to 870 borrowers, 545 of whom subsequently faced foreclosure (Reuters, 2018). The critical question is not why the error occurred — software errors are common — but why it persisted undetected for five years.

This persistence indicates the absence of real-time monitoring, systematic audit processes, and meaningful human oversight at the point where automated decisions affected individual borrowers. Kumar et al. (2025) specify that responsible automated financial systems require transparent decision logic, real-time error detection, non-biased human review processes, and mechanisms to identify and respond to disparate outcomes. None of these mechanisms were sufficiently operational during the five years the error continued. The harm caused — housing insecurity, financial loss, family disruption — was not the product of a single mistake but of an institutional environment in which undetected algorithmic errors could compound for years without correction.

What: The Ethical Violations Across Both Cases

Both cases constitute systematic violations of established professional obligations. In the Gatlin case, the documented violations include: disregarding system performance limitations despite explicit policy acknowledgement of those limitations; prioritising operational convenience over accuracy safeguards; treating unreliable algorithmic evidence as conclusive; and enabling racially disparate outcomes by deploying a system known to perform differently across demographic groups without adequate compensating safeguards. Johnson et al. (2022) establish that FRT deployment in policing increases wrongful arrests among Black individuals — a consequence that professionals involved in the Gatlin case were professionally obligated to anticipate and mitigate.

In the Wells Fargo case, the violations are: systematic failure to provide legally mandated assistance to borrowers; insufficient quality assurance that allowed a known class of calculation errors to persist; institutional negligence in detecting systematic errors; and failure to provide timely remediation to affected individuals. Issa et al. (2024) argue that these failures represent a category of algorithmic harm that is qualitatively different from traditional financial errors because the opacity of the system prevented affected individuals from understanding or challenging the basis of decisions that affected their homes and families.

Why: Root Causes of Systematic Failure

Three interacting root causes explain the pattern of failure across both cases: technical limitations amplified by professional negligence, inadequate institutional governance, and deficiencies in professional education and competency development.

Technical limitations are a starting point but not a sufficient explanation. Ferrara (2024) documents the demographic accuracy disparities in FRT. These disparities become discriminatory harms only when professionals deploy systems without addressing them — through inadequate validation, insufficient user training, and the absence of accountability mechanisms for algorithmic errors. Similarly, the Wells Fargo calculation error became a five-year crisis only because professional oversight mechanisms failed to detect and interrupt it. In both cases, technical constraints were transformed into systemic discrimination by professional failures in governance.

At the institutional level, both cases demonstrate the absence of the governance structures that NIST (2023) identifies as necessary for responsible AI deployment: risk assessment protocols, moderation mechanisms, meaningful accountability frameworks, and training requirements proportionate to the stakes of the systems being deployed. The IMF (2021) observes that regulatory frameworks lag behind technological deployment, and the cases here confirm that this lag has material consequences for vulnerable populations.

At the level of professional education, Kumar et al. (2025) argue that computing practitioners across roles — data scientists, technical managers, system administrators — must be equipped to identify bias, assess algorithmic fairness, and maintain ethical standards throughout the system lifecycle. The failures in both cases suggest that current professional formation does not adequately develop these capacities. Professionals knew that relevant ethical standards and

frameworks existed; what they lacked were the institutional conditions and professional competencies to implement them under operational pressures.

Conclusion and Discussion

The analysis presented here has argued that the Christopher Gatlin and Wells Fargo cases represent failures of professional and institutional governance, not merely technical malfunction. The evidence demonstrates a consistent pattern: technical limitations that were known and documented became civil rights violations and financial harms because the professional and institutional infrastructure required to prevent their escalation did not exist in practice.

The distinction between technical and professional failure carries direct implications for remedy. Improving algorithmic accuracy, while necessary, is not sufficient. The Bhutta et al. (2025) argument — that algorithmic systems can reduce discrimination relative to human judgement — may be correct in controlled conditions, but the Wells Fargo case demonstrates that algorithmic systems operating without adequate oversight can produce harms that persist far longer and affect populations far more broadly than individual human errors typically do. Hurley and Adebayo (2022) are therefore also correct that AI systems generate structural discrimination in the absence of meaningful accountability mechanisms. The two positions are not contradictory — they describe the same systems operating under different governance conditions.

Both cases violate the ACM Code of Ethics requirements to "avoid harm," "be fair," and "take action not to discriminate" (ACM, 2018), and the IEEE Code of Ethics requirement to hold paramount the safety and welfare of the public (IEEE, 2020). The persistence of these violations despite the existence of applicable frameworks indicates that ethical competency cannot remain aspirational. It must be structurally enforced through institutional governance, mandatory validation protocols, and professional accountability mechanisms.

The future of AI deployment in critical social systems requires transformation at three levels simultaneously: professional education that develops ethical competency as a core technical skill; institutional governance that enforces accountability rather than merely articulating standards; and regulatory frameworks that close the gap between the pace of technological deployment and the development of adequate oversight. Computing practitioners are, as Chen et al. (2024) establish, not merely technical operators — they are the architects of decision-making systems that determine who receives legal protection, financial assistance, and housing security. That responsibility demands governance infrastructure commensurate with its stakes.

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